London Office
MARKET AGENT

南豐集團
NAN FUNG GROUP

IC paper: London office market

Investment committee paper · figures to Q2 2026 · 11 Oct 2026

Central London vacancy fell to 8.0% in Q2 2026 from 8.5% in Q1 2026, with take-up of 3.10m sq ft, 11% above the long-term average, and active requirements up to 14.30m sq ft.

Investment was £2.00bn in Q2 2026 against £1.90bn in Q1 2026, 36% below the long-term average.

To watch: investment sentiment hit by renewed interest rate volatility (London).

VACANCY RATE · Q2 2026

8.0% [1]

−0.50pp vs Q1 2026

TAKE-UP · Q2 2026

3.10m sq ft [1]

+0.60 vs Q1 2026 · +11% vs LTA

INVESTMENT VOLUME · Q2 2026

£2.00bn [1]

+0.10 vs Q1 2026 · -36% vs LTA

BANK RATE

3.75% [2]

as of 2026-06-18

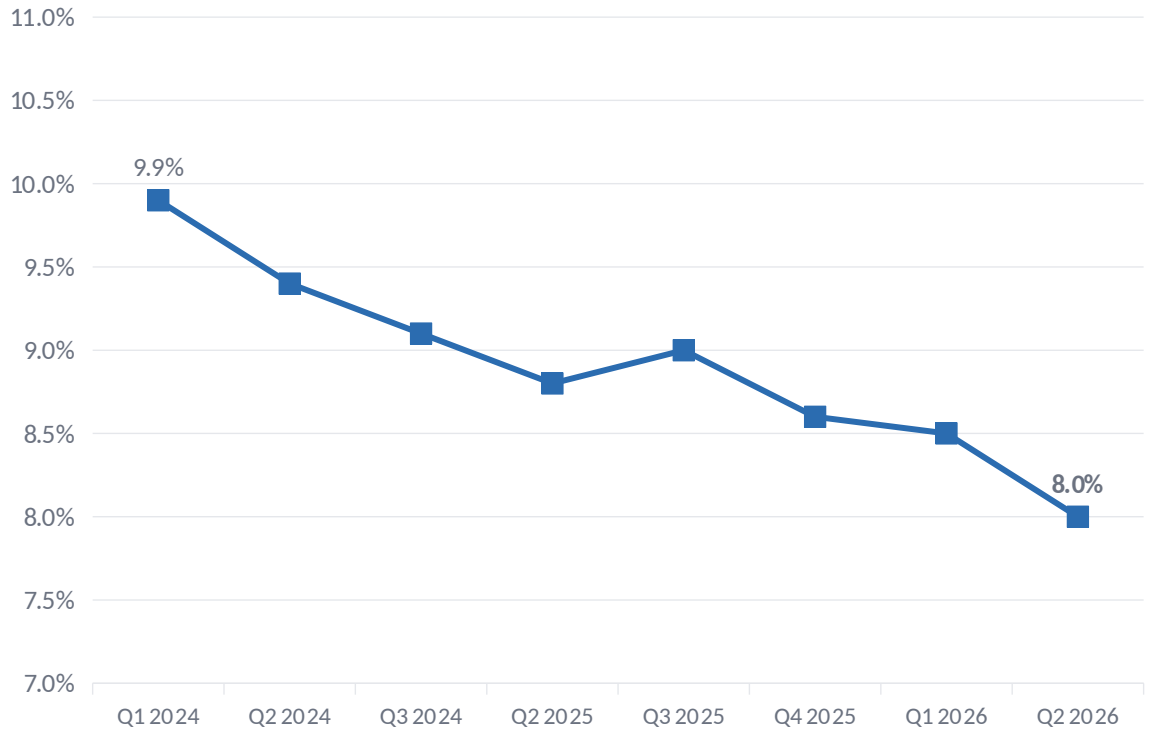
Figures restated from public research for this proof of concept (Knight Frank terms bar AI use of their data); verify against the original before external use.

Market evidence for the submarkets in focus

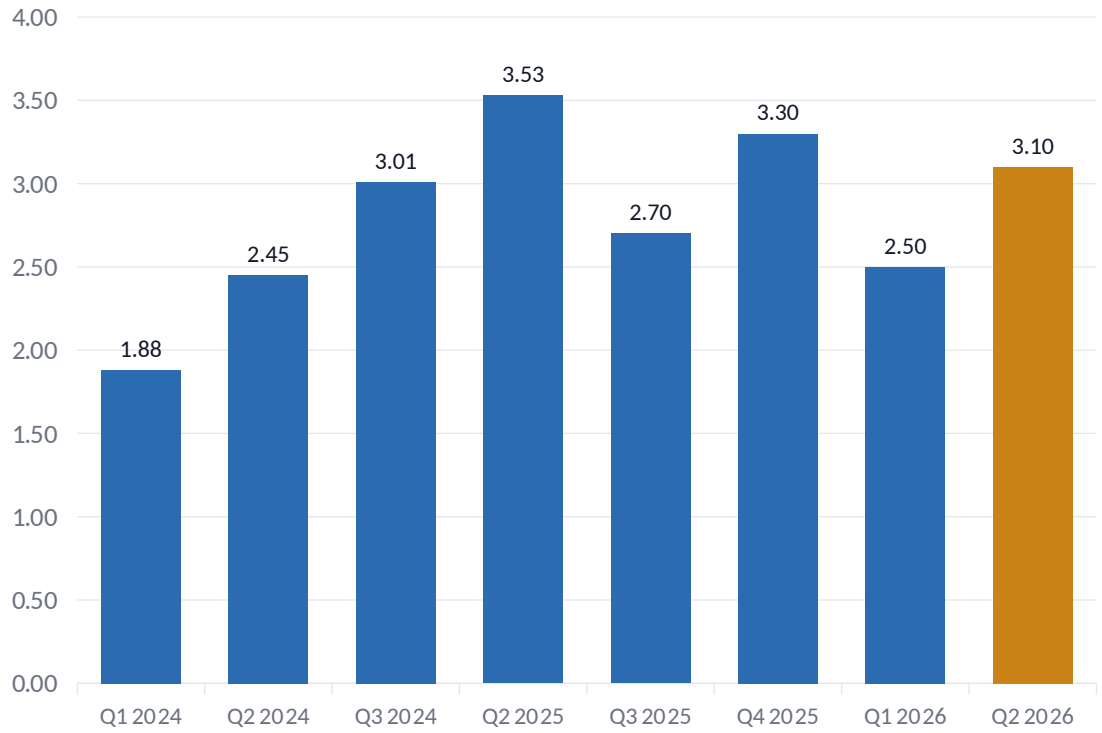
SUBMARKET	PRIME RENT	GRADE A RENT	RENT-FREE (10-YR LEASE)	VACANCY RATE	NEW/REFURB (GRADE A) VACANCY	PRIME YIELD	INVESTMENT VOLUME
West End	£185.00/sq ft [1]	n/a	21 months [1]	7.0% [1]	5.3% [1]	3.8% [1]	£0.91bn [1]
City & Southbank	£102.50/sq ft [1]	n/a	24 months [1]	8.1% [1]	6.2% [1]	5.2% [1]	£0.37bn [1]
Docklands & Stratford	£62.50/sq ft [1]	n/a	28.5 months [1]	10.7% [1]	7.5% [1]	7.5% [1]	£0.75bn [1]

Vacancy fell to 8.0%; take-up 11% above average

CENTRAL LONDON VACANCY RATE



TAKE-UP, M SQ FT · LONG-TERM AVERAGE 2.80

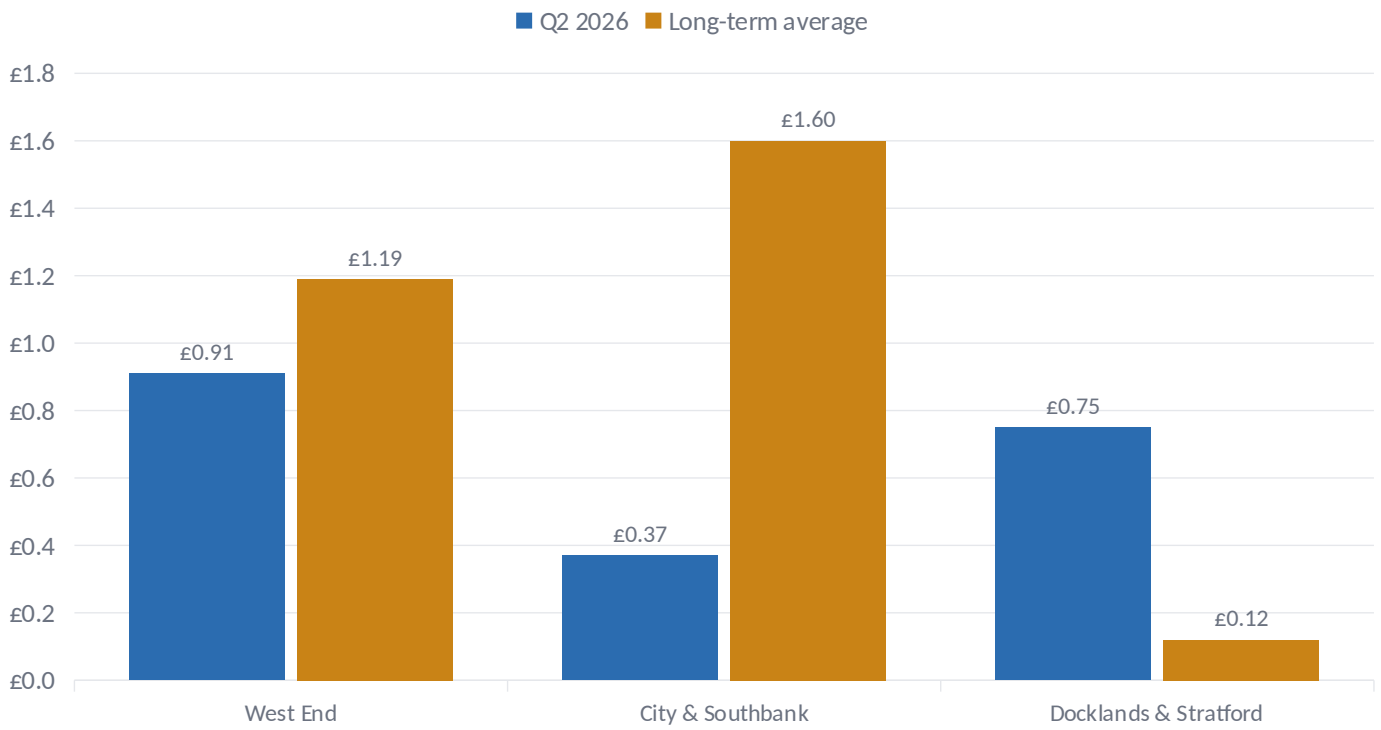


SO WHAT *Active requirements are up to 14.30m sq ft: demand is still building.*

Source [1]. Quarters with no figures in the library are not shown.

Investment £2.00bn in Q2 2026, 36% below the long-term average

INVESTMENT, £BN, Q2 2026 VS LONG-TERM AVERAGE



PRICING AND RATES

PRIME YIELD	LATEST	CHANGE
West End	3.8% [1]	±0.00pp vs Q1 2026
City & Southbank	5.2% [1]	±0.00pp vs Q1 2026
Docklands & Stratford	7.5% [1]	±0.00pp vs Q1 2026
Bank Rate	3.75% [2]	as of 2026-06-18

SO WHAT *City & Southbank is 77% below its long-term average: little fresh pricing evidence.*

London total £2.00bn [1]. Yields are the publisher's prime yields.

What supports the case, and what puts it at risk

▲ SUPPORTS THE CASE

White City: Grade A vacancy 11.5% against 17.9% overall, gap widening

New and refurbished space in White City is 11.5% vacant against 17.9% for all space in Q2 2026, a gap of 6.4pp (from 5.0pp the quarter before). [1]

Occupiers are concentrating on the best space: Grade A buildings let first while second-hand space waits. Supports Grade A rents and the case for refurbishment; raises the risk on older stock.

▲ SUPPORTS THE CASE

Barclays buys 1 Churchill Place, Canary Wharf, for £750m

Barclays has acquired its Canary Wharf headquarters at 1 Churchill Place for £750m, reflecting a 5.62% yield. The deal lifted Docklands & Stratford investment turnover to… [10]

Sets fresh pricing (yield) evidence for valuations and acquisitions.

▲ SUPPORTS THE CASE

Docklands & Stratford investment volume +525% vs long-term average

Investment volume in Docklands & Stratford was £0.75bn in Q2 2026 against a long-term average of £0.12bn. [1]

Investment is above trend: more pricing evidence and better liquidity.

▼ RISKS TO THE CASE

Investment sentiment hit by renewed interest rate volatility

London office investment edged up to £2.0bn in Q2 2026, but sentiment was affected by renewed interest rate volatility. [10]

Sets fresh pricing (yield) evidence for valuations and acquisitions.

▼ RISKS TO THE CASE

City & Southbank investment volume -77% vs long-term average

Investment volume in City & Southbank was £0.37bn in Q2 2026 against a long-term average of £1.60bn. [1]

Investment is well below trend: thin liquidity and little pricing evidence.

▼ RISKS TO THE CASE

540,000 sq ft speculative scheme due Q4 2027 in Rest of Docklands

One North Quay, E14 (540,000 sq ft) is under construction without a pre-let and is expected to complete in Q4 2027. [6]

New speculative space will compete for tenants with existing buildings nearby.

Sources and caveats

[1] London Offices Spotlight Q2 2026 (Uploaded by PoC seed · 2026-10-11) - https://www.knightfrank.co.uk/site-assets/research/report-pdfs/london-office-spotlight/spotlight-q2-2026.pdf
[2] Bank of England Bank Rate - https://www.bankofengland.co.uk/boeapps/database/Bank-Rate.asp
[3] The London Office Market Report Q1 2024 (Uploaded by PoC seed · 2026-10-11) - https://content.knightfrank.com/research/104/documents/en/the-london-office-market-report-q1-2024-11170.pdf
[4] London Offices Spotlight Q2 2024 (Uploaded by PoC seed · 2026-10-11) - https://content.knightfrank.com/research/1903/documents/en/london-offices-spotlight-q2-2024-11338.pdf
[5] The London Office Market Report Q3 2024 (Uploaded by PoC seed · 2026-10-11) - https://www.knightfrank.co.uk/research/reports/the-london-office-market-report-104/contentassets/the-london-office-market-report-q3-2024-11701.pdf
[6] The London Office Market Report Q2 2025 (Uploaded by PoC seed · 2026-10-11) - https://content.knightfrank.com/research/104/documents/en/the-london-office-market-report-q2-2025-12541.pdf
[7] London Offices Spotlight Q3 2025 (Uploaded by PoC seed · 2026-10-11) - https://content.knightfrank.com/research/1903/documents/en/london-offices-spotlight-q3-2025-12540.pdf
[8] London Offices Spotlight Q4 2025 (Uploaded by PoC seed · 2026-10-11) - https://www.knightfrank.co.uk/site-assets/research/report-pdfs/spotlight/spotlight-q4-2025-2.pdf
[9] London Offices Spotlight Q1 2026 (Uploaded by PoC seed · 2026-10-11) - https://www.knightfrank.co.uk/site-assets/research/report-pdfs/london-office-spotlight/spotlight-q1-2026v3.pdf
[10] Knight Frank research (seed) (2026-06-30) - https://www.knightfrank.co.uk/site-assets/research/report-pdfs/london-office-spotlight/spotlight-q2-2026.pdf

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● Open data, collected automatically ● Uploaded by a colleague under the team's own access ● Internal, our own records